

FUNDS FACTOR
Siddaramaiah presents a buoyant picture ahead of the state budget

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KARNATAKA BUDGET

THE CM'S BALANCING ACT

By Ajay Sukumaran

Karnataka chief minister Siddaramaiah has the enviable record of having presented 15 state budgets—in his parallel capacity as finance minister—over three long decades since 1994. But in giving shape to the one he presented on February 16, the CM would have also confronted an acute version of the old growth-vs-welfare debate: he had the unenviable task of walking a fine balance between expenditure on welfare schemes and asset creation. On one hand were the Congress's five big poll guarantees that the government says have already lifted an estimated 12 million families above the poverty line since May 2023, by providing them an annual income of Rs 50,000-55,000. On the other was the clamour from legislators, including the Congress's own MLAs, for funds towards development.

In the end, Siddaramaiah juggled both by setting aside Rs 52,009 crore for the welfare guarantees in the coming fiscal, and Rs 55,877 crore towards capital expenditure in a total budget size of Rs 3.71 lakh crore. While the substantial outgo on the former more than doubled the state's revenue deficit to Rs 27,354 crore, the CM kept the fiscal deficit and total outstanding liabilities within the stipulated norms of three per cent and 25 per cent of the Gross State Domestic Product (GSDP), respectively.

WHILE SIDDARAMAIAH HAS KEPT THE CONGRESS's POLL PROMISE ON WELFARE, HE HAS ALSO PROVIDED FOR CAPEX ON DEVELOPMENT

Borrowings for the coming fiscal are estimated at Rs 1.05 lakh crore, up from Rs 85,818 crore in FY24, giving the Opposition enough ammunition to attack the government. Bharatiya Janata Party (BJP) leader and former Karnataka CM Basavaraj Bommai has accused the Congress of borrowing heavily and spending the money on "unproductive expenses".

Since May 2023, when the Congress came to power in Karnataka with a thumping majority, its government has serially rolled out the five welfare guarantees announced as poll promises—the Gruha Lakshmi (Rs 2,000 monthly allowance for women), Gruha Jyothi (free electricity up to 200 units), Anna Bhagya Yojana (extra five kilograms of rice for ration card holders), Shakti (free